



LCA Tejas before test flight at HAL's Bengaluru airport (Image courtesy: DRDO)

Strategic Electronics: The High-Return, High-Risk Sector

The manufacture of products for Defence electronics offers very high returns to companies that have patience, perseverance and deep pockets. This report covers key issues like the opportunities available, why it is difficult to enter the Defence market, the key technological requirements of the Indian Defence and aerospace sectors, and industry's suggestions to the government. It is based on the information provided by industry experts in various sessions at the Strategic Electronics Summit held recently in Bengaluru

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The production of strategic electronics in India has been growing steadily. From ₹ 57 billion in 2007-08, it is projected to touch ₹ 120 billion by the end of 2013 and exceed ₹ 140 billion during 2013-14. This high potential arose particularly after the revised offset policy was announced in 2012, offering greater opportunities to indigenous electronics manufacturers. "This policy allows them to participate and then supply Defence equipment in collaboration with the MNCs, to make sure sufficient value addition is made

locally," shares T. Vasu, president, ELCINA.

Opportunities galore

The Defence market in India is growing at 30 per cent, but the contribution from MSMEs is a mere one per cent! "This shows that there are a lot of existing opportunities, especially for small industries," says Dr K.D. Nayak, chief controller (R&D-M&M), DRDO.

Defence electronics production presently registers a growth of about 15 per cent annually, but according to T. Vasu, there is good potential to increase this to 25 per cent with the recently announced

National Electronics Policy. Among the new opportunities for Indian entrepreneurs are the infrastructure subsidies offered for cluster formation and the Modified Special Incentive Package Scheme (MSIPS). This will also help in cutting down the burgeoning electronics import bill that is expected to reach close to US\$ 400 billion by 2020.

One important prerequisite to entering the Defence equipment manufacturing field is to get qualified by recognised test and measuring labs. There seems to be a lack of knowledge on this subject among entrepreneurs. For entrepreneurs who wish to get into this sector